GradientCIO

INVESTMENT DUE DILIGENCE

Northstar Growth Fund III PME

Commitment cash-flow performance versus public markets

REVIEW
Commitment PME

FUND
Northstar Growth Fund III

AUDIENCE
Investment Committee

DATA AS OF
2025-12-31

OVERALL VIEW
PME positive across both benchmarks

SCOPE REVIEWED
7 of 7 · Complete

1 Executive conclusion

Both returned PME paths exceed one, with most value still unrealized

Key judgment — Relative result

Observation: Primary and sensitivity KS-PME were 1.08x and 1.03x S6 S7. Why it matters: Both returned paths finished above public-market parity. Uncertainty: Sensitivity evidence is limited to a 0.03x margin over parity. What would change the view: Either governed KS-PME path falling to 1.00x or below.

Key judgment — Direct alpha

Observation: Direct alpha was +1.9% primary and +0.8% sensitivity S6 S7. Why it matters: Both server runs indicate positive annualized relative value. Uncertainty: The selected pair excludes benchmarks outside the returned catalog choices. What would change the view: A returned direct-alpha estimate at or below 0.0%.

Key judgment — Cash-flow context

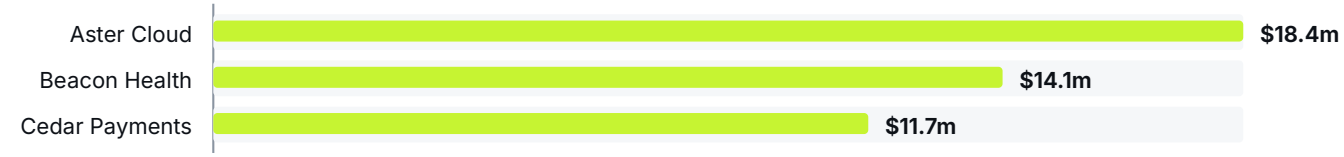
Observation: Net IRR was 12.6% and TVPI was 1.41x, including 0.75x RVPI S6. Why it matters: More value remains unrealized than distributed. Uncertainty: Holdings context is not a PME input. What would change the view: Audited cash flows reducing TVPI by at least 0.10x.

2 Cash-flow and benchmark coverage

Canonical commitment identity supports one benchmark path

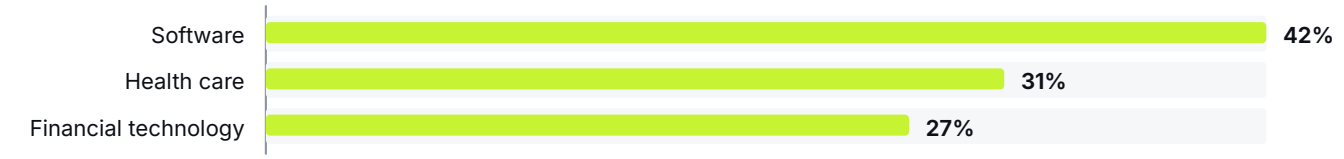
Canonical portfolio and commitment	available	Portfolio 10000000-0000-4000-8000-000000000001 and commitment 60000000-0000-4000-8000-000000000001 resolved S1 S2.
Primary benchmark session	available	Benchmark b0000000-0000-0000-0000-000000000001 produced an available server session S4 S5.
Sensitivity benchmark session	available	Benchmark b0000000-0000-0000-0000-000000000002 produced a distinct server result S4 S7.
Holdings and ILPA context	partial	15 of 18 portfolio companies matched returned ILPA detail; these values were not calculator inputs S3.

CONTEXT ONLY — NOT A PME INPUT · LARGEST REPORTED HOLDINGS [S3]



Reported holdings context; no value enters the PME calculator S3.

CONTEXT ONLY — NOT A PME INPUT · SECTOR MIX [S3]



Returned holdings classification, shown only as context S3.

CONTEXT ONLY — NOT A PME INPUT · GEOGRAPHY MIX [S3]

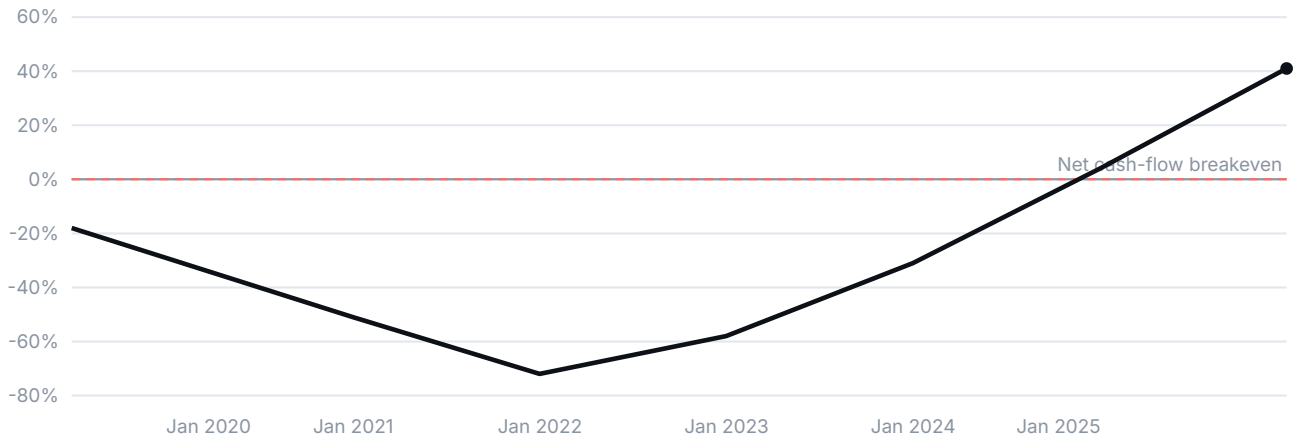


Returned holdings geography, shown only as context S3.

3 PME and direct alpha

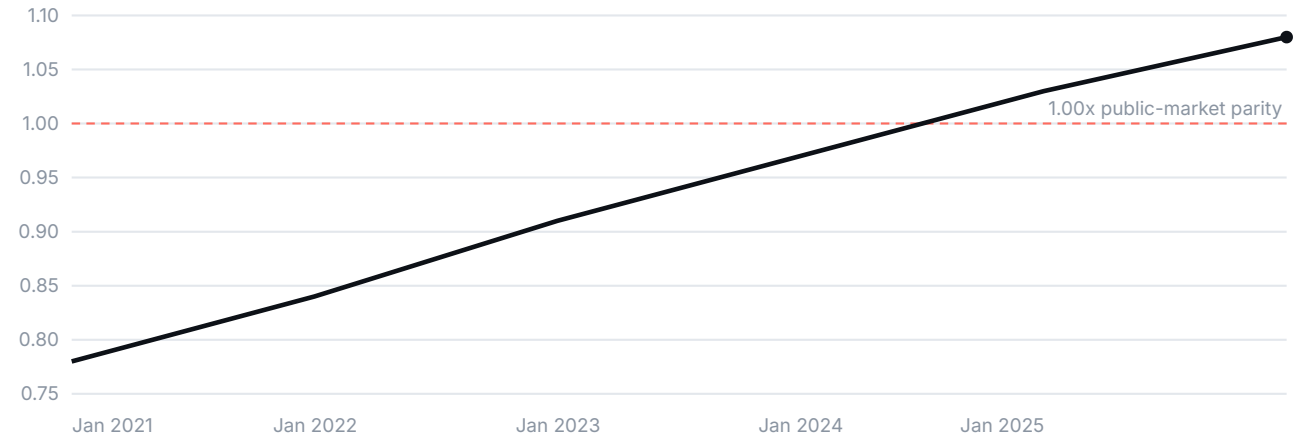
Cash-flow and public-market paths both finish above parity

J-CURVE CASH-FLOW PATH · 2019-06-30 TO 2025-12-31 [S6]



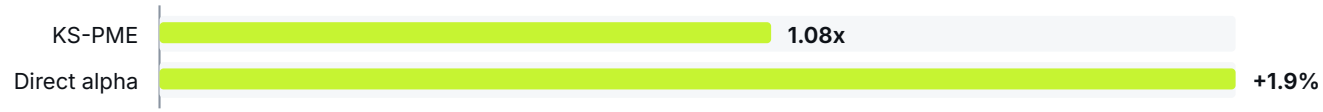
Returned cash_flow_series values; no local interpolation S6.

PME PATH · PRIMARY KS-PME THROUGH 2025-12-31 [S6]



Server-returned PME path against the primary benchmark S6.

PRIMARY PUBLIC-MARKET-EQUIVALENT RESULT



Server-returned primary benchmark results through 2025-12-31 S6.

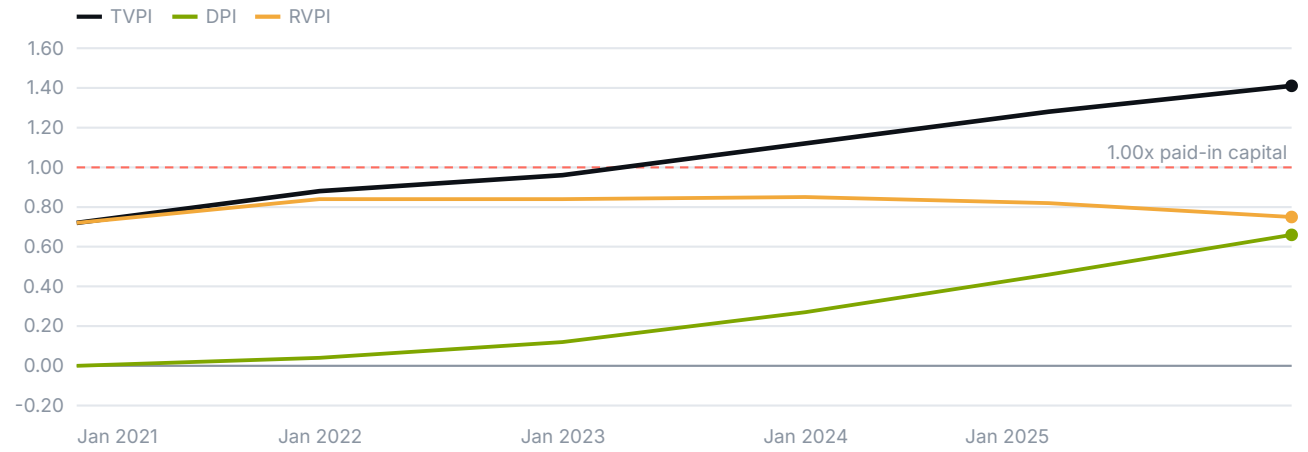
Analysis — Primary PME result

Observation: KS-PME ended at 1.08x and direct alpha at +1.9% S6. Why it matters: Both returned relative measures are positive. Uncertainty: Persistence evidence is limited because PME stayed below parity through 2023. What would change the view: A governed refresh at or below 1.00x KS-PME.

4 IRR and multiple context

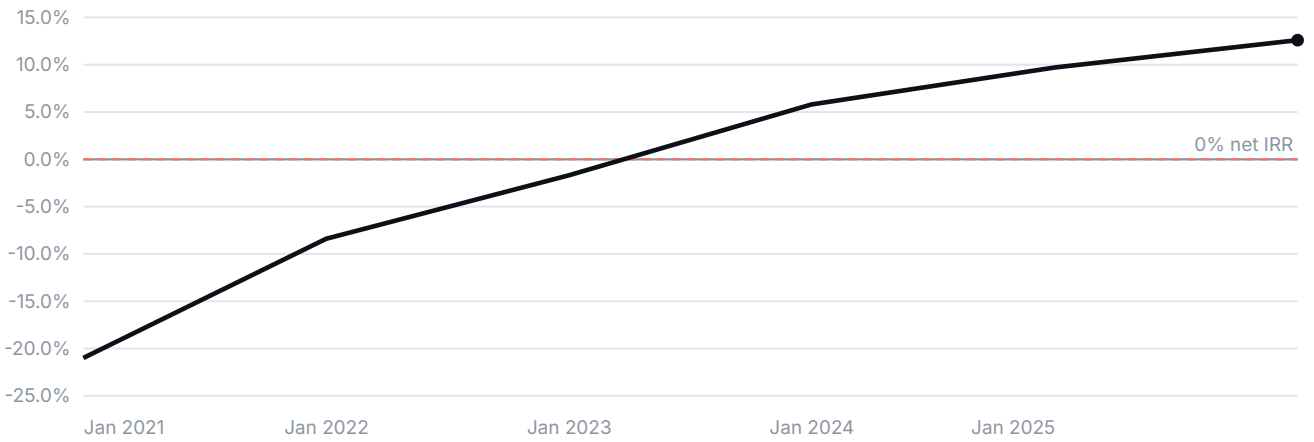
TVPI crossed 1.0x before net IRR reached 12.6%

FUND MULTIPLES PATH · TVPI, DPI AND RVPI [S6]



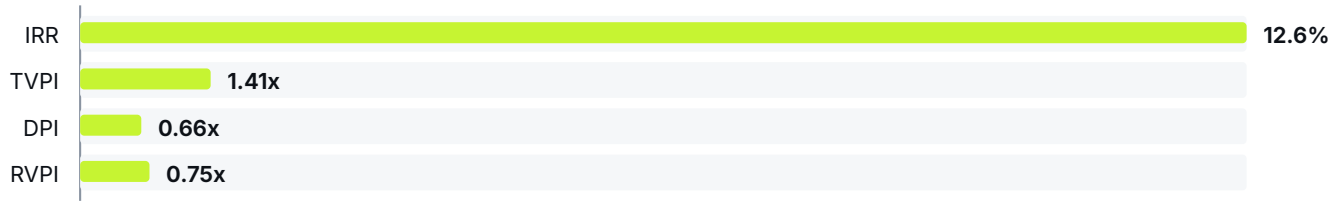
Returned cash_flow_series multiple path with the 1.00x reference line S6.

NET IRR PATH · 2020-12-31 TO 2025-12-31 [S6]



Server-returned net IRR path; no locally solved cash-flow metric S6.

RETURNED FUND METRICS



PME-tool outputs; holdings and ILPA values are excluded from these calculator metrics S3 S6.

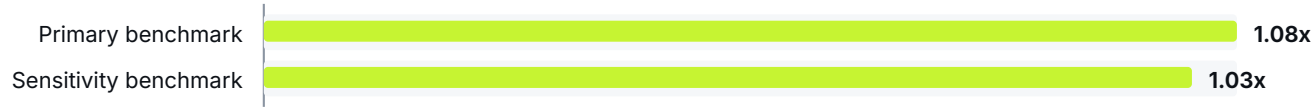
Analysis — Realized and residual value

Observation: Net IRR was 12.6%, while 0.75x RVPI exceeded 0.66x DPI S6. Why it matters: More value remains unrealized than distributed. Uncertainty: The result depends on reported residual NAV. What would change the view: Audited cash flows shifting TVPI by at least 0.10x.

5 Benchmark sensitivity

Both separately built paths remain above parity

KS-PME BY BENCHMARK PATH



Two distinct server sessions using the same canonical commitment S6 S7.

PRIMARY AND SENSITIVITY BENCHMARK RESULTS

PATH	BENCHMARK	BENCHMARK_WINDOW_RETURN	KS-PME	DIRECT ALPHA	SOURCE
Primary	Northstar Public Growth Index	62.0%	1.08x	+1.9%	S6
Sensitivity	Northstar Broad Equity Index	54.0%	1.03x	+0.8%	S7

benchmark_window_return values are copied from each server response, not recomputed S6 S7.

Analysis — Benchmark dependence

Observation: KS-PME narrowed from 1.08x to 1.03x as benchmark_window_return moved from 62.0% to 54.0% S6 S7. Why it matters: The positive verdict survives the selected alternate basis. Uncertainty: Benchmark breadth is limited to two returned paths and a 0.03x floor. What would change the view: A governed sensitivity KS-PME at or below 1.00x.

6 Limitations and follow-ups

Benchmark breadth, residual NAV and holdings mapping bound the conclusion

- Two returned benchmark paths do not span every public-market opportunity cost S4 S6 S7.
- The 0.75x RVPI remains dependent on reported residual NAV rather than realized distributions S6.
- Three of 18 holdings lack matched ILPA company detail; holdings are context only S3.

01 **Can audited cash flows confirm the returned 12.6% net IRR and 1.41x TVPI?**
The verdict depends on the server-returned cash-flow series and residual NAV S6.

02 **Can the next audited cash-flow package resolve the three unmatched ILPA company records?**
The holdings context is partial even though it remains separate from PME inputs S3.

03 **Would a mandate-approved third benchmark materially widen the PME range?**
The current range reflects only the two returned catalog selections S4 S6 S7.

A Appendix — Sources and methods

Saved illustrative commitment, benchmark, builder and PME evidence

TAG	EVIDENCE	BASIS	TOOL / VIEW	KEY PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S1	Canonical portfolio	gradient_tool	list_portfolios	portfolio_id=10000000-0000-4000-8000-000000000001	2025-12-31	sample portfolio	passed	sha256:111111111111
S2	Canonical commitment	gradient_tool	get_portfolio_exposure	commitment_id=60000000-0000-4000-8000-000000000001	2025-12-31	sample commitment	passed	sha256:222222222222
S3	Holdings and ILPA context	gradient_tool	get_private_markets_holdings	portfolio_id=10000000-0000-4000-8000-000000000001; commitment_id=60000000-0000-4000-8000-000000000001	2025-12-31	Context only — not a PME input	partial	sha256:333333333333
S4	Primary and sensitivity benchmark identities	gradient_tool	get_benchmarks	benchmark_ids=b0000000-0000-0000-0000-000000000001,b0000000-0000-0000-0000-000000000002	2025-12-31	sample catalog	passed	sha256:444444444444
S5	Primary commitment-scoped session	gradient_tool	build_strategy_lab_session	domain=private-markets-pme; benchmark_id=b0000000-0000-0000-0000-000000000001	2025-12-31	Primary builder call	passed	sha256:555555555555
S6	Primary PME metrics	gradient_tool	run_strategy_lab_private_markets_pme	session=primary; benchmark_id=b0000000-0000-0000-0000-000000000001	2025-12-31	Server-computed PME evidence	passed	sha256:666666666666
S7	Sensitivity PME metrics	gradient_tool	run_strategy_lab_private_markets_pme	session=sensitivity; benchmark_id=b0000000-0000-0000-0000-000000000002	2025-12-31	Server-computed PME evidence	passed	sha256:777777777777

Illustrative, Gradient Maintained — demo data, not the client's holdings or managers. All organizations, portfolios, managers and results in this public example are illustrative.

Full digests — S1: sha256:1111111111111111111111111111111111111111111111111111111111111111; S2: sha256:2222222222222222222222222222222222222222222222222222222222222222; S3: sha256:3333333333333333333333333333333333333333333333333333333333333333; S4: sha256:4444444444444444444444444444444444444444444444444444444444444444; S5: sha256:5555555555555555555555555555555555555555555555555555555555555555; S6: sha256:6666666666666666666666666666666666666666666666666666666666666666; S7: sha256:7777777777777777777777777777777777777777777777777777777777777777

SERIES VIEW LINEAGE

SOURCE TAG	VIEW	PAYLOAD DIGEST
S3	holdings_reported_value	sha256:eeee